MICROSOFT CORPORATION

Microsoft Cloud Strength Drives First Quarter Results

Fiscal Year 2022 • Quarter Ended September 30, 2021
• Redmond, Wash. • October 26, 2021

EXECUTIVE SUMMARY

Four Numbers That Define the Quarter

Results for the quarter ended September 30, 2021, vs. the corresponding period of last fiscal year

Revenue

+22% YoY

$45.3B

GAAP No non-GAAP adjustment

Operating Income

+27% YoY

$20.2B

GAAP No non-GAAP adjustment

Net Income

+48% YoY

$20.5B

GAAP Non-GAAP $17.2B · +24%

Diluted EPS

+49% YoY

$2.71

GAAP Non-GAAP $2.27 · +25%

WHY GAAP ≠ NON-GAAP GAAP results include a **$3.3 billion net income tax benefit** related to the transfer of intangible properties — explained in the Non-GAAP Definition section later in this briefing.

MANAGEMENT COMMENTARY · CEO

"Digital technology is a deflationary force in an inflationary economy."

Satya Nadella, chairman and chief executive officer of Microsoft

Digital technology is a deflationary force in an inflationary economy.

Businesses — small and large — can improve productivity and the affordability of their products and services by building tech intensity, said Satya Nadella, chairman and chief executive officer of Microsoft. The Microsoft Cloud delivers the end-to-end platforms and tools organizations need to navigate this time of transition and change.

CHAIRMAN & CHIEF EXECUTIVE OFFICER

Satya Nadella

Microsoft

STRATEGIC POINT

Microsoft positions the cloud as the tool businesses use to build tech intensity — the lever that lowers costs even as the broader economy tightens.

MANAGEMENT COMMENTARY · CFO

"Microsoft Cloud generating $20.7 billion in revenue for the quarter, up 36% year over year."

Amy Hood, executive vice president and chief financial officer of Microsoft

> "We delivered a strong start to the fiscal year with our **Microsoft Cloud generating $20.7 billion in revenue for the quarter, up 36% year over year**," said Amy Hood, executive vice president and chief financial officer of Microsoft.

SOURCE Microsoft press release, October 26, 2021

$20.7B **Microsoft Cloud revenue** for the quarter

+36% **Year-over-year growth** Microsoft Cloud revenue

This Microsoft Cloud figure appears only in the CFO's commentary and is not broken out in the financial tables.

GAAP to Non-GAAP Reconciliation

Three months ended September 30 • $ in millions, except per share amounts

THREE MONTHS ENDED SEPTEMBER 30,	REVENUE	OPERATING INCOME	NET INCOME	DILUTED EPS
2020 AS REPORTED (GAAP)	$37,154	$15,876	$13,893	$1.82
2021 AS REPORTED (GAAP)	$45,317	$20,238	$20,505	$2.71
NET INCOME TAX BENEFIT RELATED TO TRANSFER OF INTANGIBLE PROPERTIES ONE-TIME	—	—	(3,291)	(0.44)
2021 AS ADJUSTED (NON-GAAP)	$45,317	$20,238	**$17,214**	**$2.27**
% CHANGE Y/Y (GAAP)	22%	27%	48%	49%
% CHANGE Y/Y (NON-GAAP)	22%	27%	24%	25%
% CHANGE Y/Y (NON-GAAP) CONSTANT CURRENCY	20%	24%	22%	23%

READING THE TABLE

GAAP
As reported under U.S. GAAP.

Adjustment
One-time $3.3B net income tax benefit from the transfer of intangible properties.

Non-GAAP
GAAP results after removing the one-time tax benefit.

"—" indicates not applicable for that line item.

FINANCIAL DEEP DIVE

What the $3.3 Billion Tax Benefit Means

Why GAAP and non-GAAP net income differ this quarter

WHAT HAPPENED

A one-time transfer of intangible properties

In the first quarter of fiscal 2022, Microsoft transferred certain intangible properties from its Puerto Rico subsidiary to the United States.

WHY IT CREATED A NET TAX BENEFIT

The value of future U.S. tax deductions from the transfer **exceeds** the current tax liability from the U.S. Global Intangible Low-Taxed Income (GILTI) tax — so the company recorded a net benefit of **$3.3 billion**.

THE BRIDGE

From GAAP to non-GAAP

GAAP Net Income As reported	$20,505M
Less: net income tax benefit Transfer of intangible properties	($3,291M)
Non-GAAP Net Income **As adjusted**	**$17,214M**

SAME BRIDGE, PER SHARE

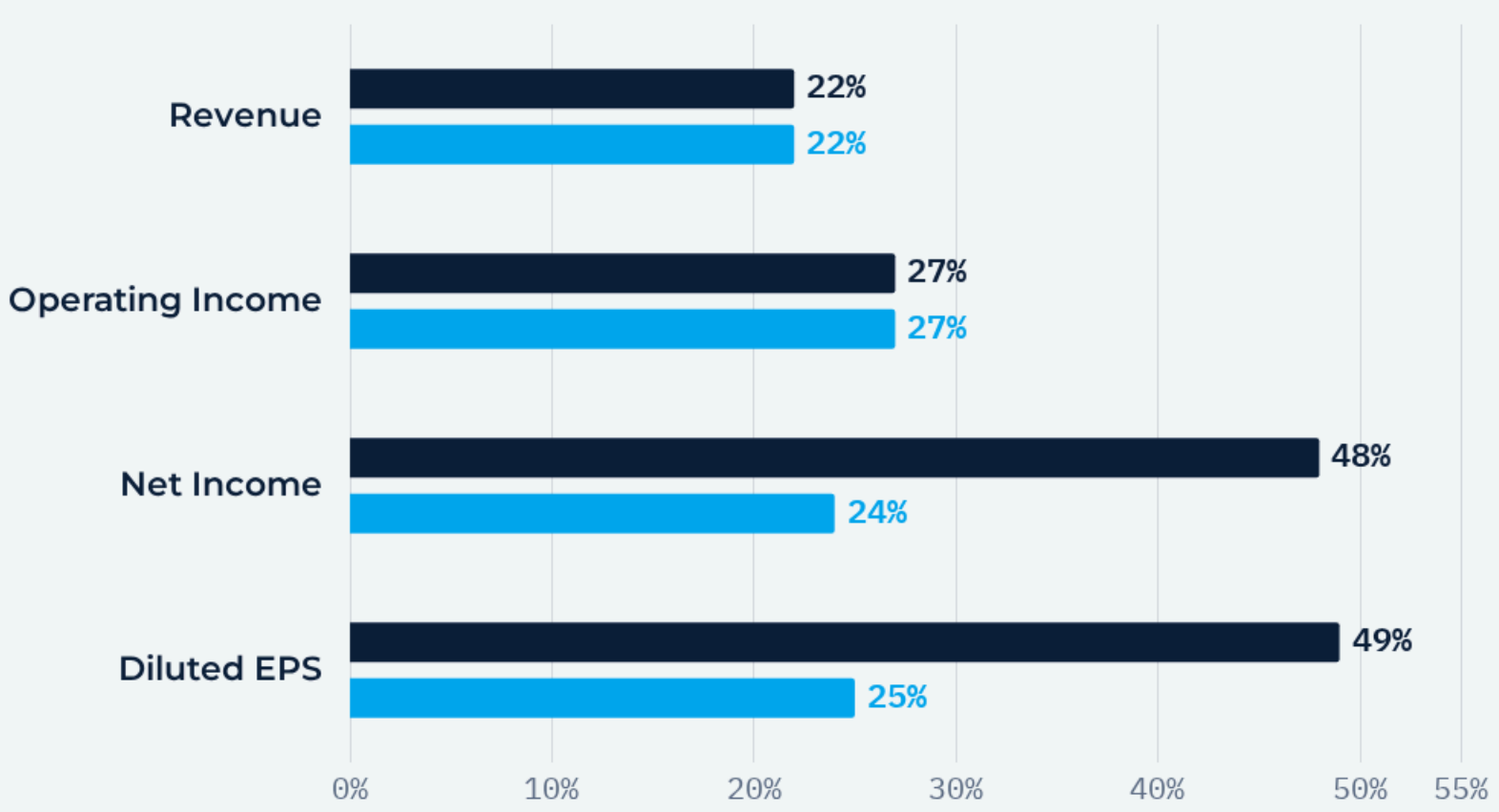
GAAP Diluted EPS As reported	$2.71
Less: EPS impact Transfer of intangible properties	($0.44)
Non-GAAP Diluted EPS **As adjusted**	**$2.27**

NOTE The non-GAAP financial measures presented in this release should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP.

FINANCIAL DEEP DIVE

Year-Over-Year Growth: GAAP vs Non-GAAP

Percentage change vs. the corresponding period of last fiscal year



GAAP

Non-GAAP

Revenue and Operating Income grow at the same rate on both bases — the tax benefit only changes the bottom line.

THE GAP

Net Income and Diluted EPS are **24 percentage points** higher on a GAAP basis — the exact size of the **$3.3 B** one-time tax benefit.

FINANCIAL DEEP DIVE

$10.9 Billion Returned to Shareholders

Share repurchases and dividends, first quarter of fiscal year 2022 • +14% vs. first quarter of fiscal year 2021

RETURNED TO SHAREHOLDERS

$10.9B

▲ +14% YOY

Share repurchases and dividends, first quarter of fiscal year 2022.

WHAT IT IS

The total cash Microsoft returned to shareholders in the quarter, combining share repurchases and cash dividends.

HOW IT COMPARES

Up 14% versus the first quarter of fiscal year 2021, continuing the company's commitment to returning capital.

The release presents this as a single aggregate figure and does not break it out between repurchases and dividends.

SEGMENT PERFORMANCE · 01

Productivity and Business Processes — $15.0B, +22%

Up 20% in constant currency • Three months ended September 30, 2021

SEGMENT REVENUE

$15.0B

+22% Year over year

+20% Constant currency

$15,039M vs $12,319M in 2020

Office Commercial products and cloud services +18%

+16% constant currency Office 365 Commercial +23% (+21% cc)

Office Consumer products and cloud services +10%

+8% constant currency Microsoft 365 Consumer subscribers: 54.1 million

LinkedIn +42%

+39% constant currency LinkedIn Marketing Solutions +61% (+59% cc)

Dynamics products and cloud services +31%

+29% constant currency Dynamics 365 +48% (+45% cc)

Intelligent Cloud — $17.0B, +31%

Up 29% in constant currency • Three months ended September 30, 2021

SEGMENT REVENUE

$17.0B

+31% year over year (GAAP)

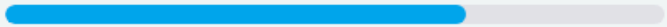
Up 29% in constant currency

Fastest-growing of the three segments

BUSINESS HIGHLIGHTS

Server products and cloud services **+35%**

Up 33% in constant currency



Azure and other cloud services **+50%**

Up 48% in constant currency
• the driver of the segment



Note: Microsoft Cloud revenue of $20.7B (+36%) cited by the CFO is a broader measure that includes parts of other segments — it is not the same as Intelligent Cloud segment revenue shown here.

More Personal Computing — $13.3B, +12%

Up 11% in constant currency • Three months ended September 30, 2021

SEGMENT REVENUE

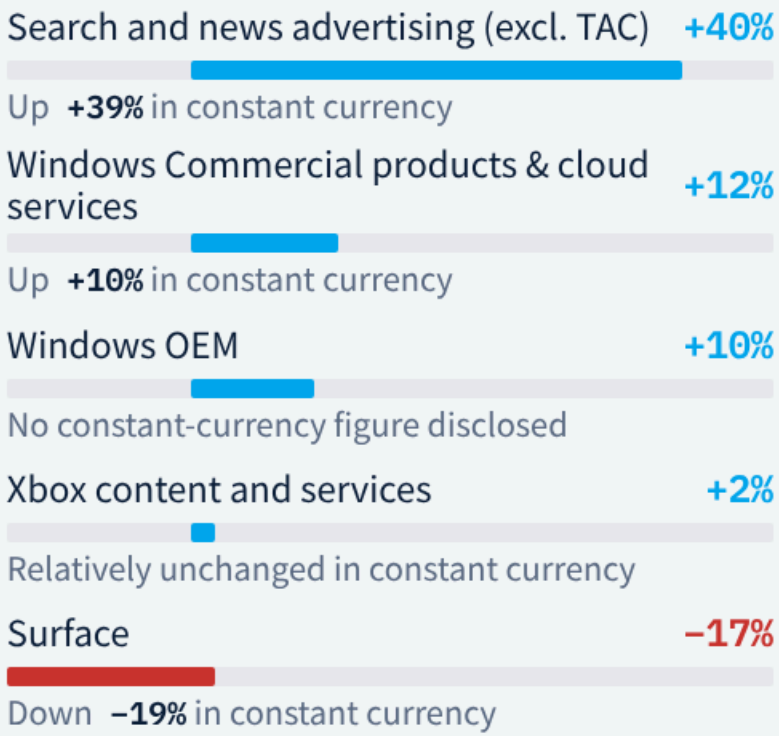
$13.3B

+12% YEAR OVER YEAR

Up **+11%** in constant currency

The slowest-growing of Microsoft's three segments — **Search advertising** drove the gains, while **Surface** declined.

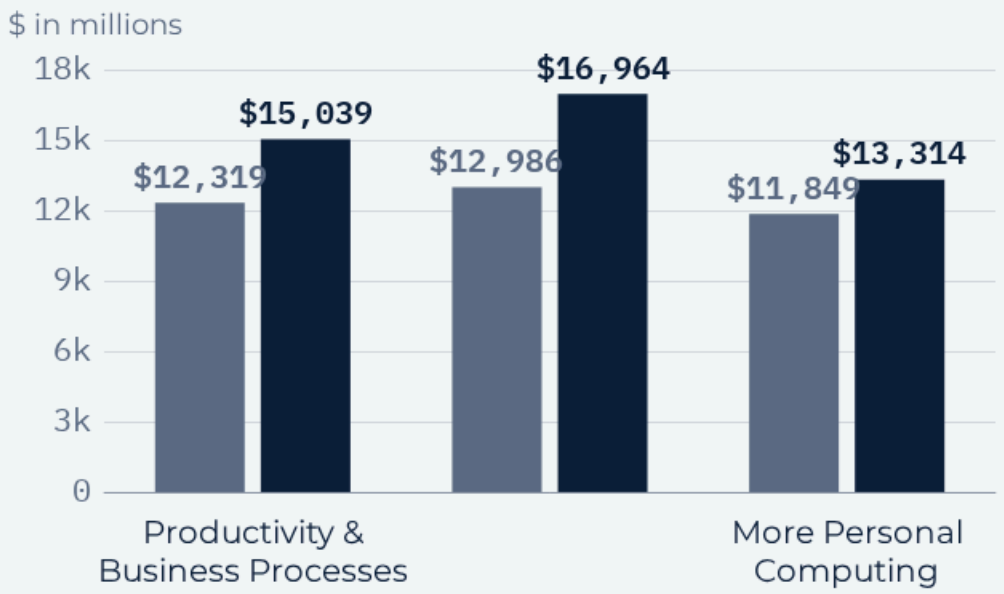
PRODUCT HIGHLIGHTS • YOY REVENUE CHANGE



SEGMENT PERFORMANCE

Three Segments, One Quarter

Segment revenue, 2020 vs. 2021 • $ in millions



2020 prior-year quarter

2021 current quarter

YEAR-OVER-YEAR REVENUE GROWTH

Intelligent Cloud	**+31%**
Productivity & Business Processes	**+22%**
More Personal Computing	**+12%**
Total revenue	**+22%**

Source: Microsoft FY22 Q1 press release, Segment Revenue and Operating Income (unaudited).

OPERATIONAL HIGHLIGHTS

Innovation Is a Multi-Year Investment

Research and development expense • Three months ended September 30

2021

$5,599M

This quarter

→

+14%

Change in R&D expense

2020

$4,926M

Same quarter last year

> "Every quarter Microsoft delivers hundreds of products, either as new releases, services, or enhancements to current products and services. These releases are a result of **significant research and development investments, made over multiple years**, designed to help customers be more productive and secure."
>
> Microsoft FY22 Q1 press release • Quarterly Highlights

The release does not list specific product releases by name, so none are named here.

OPERATIONAL HIGHLIGHTS

ESG: Focus Where Impact Is Greatest

Microsoft's Environmental, Social, and Governance approach

> “
>
> To better execute Microsoft's mission, we focus our Environmental, Social, and Governance (ESG) efforts where we can have the most positive impact. To learn more about our latest initiatives and priorities, please visit our investor relations ESG website.
>
> Microsoft FY22 Q1 Press Release • Environmental, Social, and Governance

WHERE TO READ MORE

Microsoft investor relations ESG website

Detailed initiatives and priorities are published there.

The press release does not include specific ESG metrics, targets, or dates for this quarter. This page reproduces the release's ESG statement verbatim and points readers to the source for detail.

FORWARD-LOOKING STATEMENTS

Actual Results May Differ

A summary of the risk factors noted in the release • Full list in Microsoft's SEC filings

Statements in this release that are "forward-looking statements" are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could differ materially because of factors such as:

- **Competition and cloud execution**
  Intense competition across all markets; execution risk as customers shift to cloud-based services.
- **Regulatory and legal activity**
  Antitrust, trade, data-protection, and other litigation that may limit how products are designed and marketed.
- **Intellectual property and goodwill**
  Impairment charges, IP infringement claims, and changes that reduce the value of Microsoft's IP.
- **Cybersecurity and data privacy**
  Cyberattacks, data misuse, and platform abuse that could harm revenue, reputation, or user engagement.
- **Service reliability and infrastructure**
  Outages, data loss, and disruptions if operations infrastructure is not maintained adequately.
- **Macroeconomic and geopolitical conditions**
  Economic downturns, foreign-currency effects, supply-chain issues, and events such as the COVID-19 pandemic.

01 Forward-looking guidance for the quarter is provided on Microsoft's earnings conference call and webcast, not in this release.

02 All information in this release is as of September 30, 2021. Microsoft undertakes no duty to update any forward-looking statement to conform it to actual results or changes in expectations.

WHERE TO LEARN MORE

Earnings Call, Webcast, and Contacts

All information as of September 30, 2021

EARNINGS CALL & WEBCAST

TIME	2:30 p.m. Pacific time (5:30 p.m. Eastern time) on the date of the release
ACCESS	microsoft.com/en-us/investor
WEBCAST REPLAY	Available through the close of business on October 26, 2022

PARTICIPANTS

Satya Nadella	Chairman and CEO
Amy Hood	EVP and CFO
Alice Jolla	Chief Accounting Officer
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NOTE TO EDITORS Web links and telephone numbers are subject to change. All information in this release is as of September 30, 2021.

METHODOLOGY

Two Terms Worth Knowing

Non-GAAP (transfer of intangible properties) • Constant currency

TERM 01

Non-GAAP

Transfer of intangible properties

Results adjusted for the one-time **$3.3 B** tax benefit that arose when Microsoft transferred intangible properties to its foreign subsidiaries. The release presents these figures alongside GAAP so investors can see the underlying operating trend.

AS IT APPEARS IN THIS DECK

Revenue YoY **+22% GAAP** / **+20% non-GAAP**

TERM 02

Constant Currency

Comparative-period average rates

Results converted into U.S. dollars using the **average exchange rates from the prior-year period** rather than the rates in effect today. This removes the effect of foreign-currency fluctuations so you can see how the business performed on its own.

AS IT APPEARS IN THIS DECK

Revenue YoY **+22% GAAP** / **+20% constant currency**

NOTE Non-GAAP measures are not a substitute for, nor superior to, the measures of financial performance prepared in accordance with GAAP. Management considers them in conjunction with GAAP results when evaluating business performance.

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